

SUPERIOR COURT OF CALIFORNIA, CONTRA COSTA COUNTY
MARTINEZ, CA
DEPARTMENT 39
JUDICIAL OFFICER: EDWARD G WEIL
HEARING DATE: 12/04/2025

The tentative ruling will become the Court's ruling unless by 4:00 p.m. of the court day preceding the hearing, counsel or self-represented parties email or call the department rendering the decision to request argument and to specify the issues to be argued. Calling counsel or self-represented parties requesting argument must advise all other affected counsel and self-represented parties by no later than 4:00 p.m. of their decision to appear and of the issues to be argued. Failure to timely advise the Court and counsel or self-represented parties will preclude any party from arguing the matter. (*Local Rule 3.43(2).*)

Note: In order to minimize the risk of miscommunication, parties are to provide an **EMAIL NOTIFICATION TO THE DEPARTMENT OF THE REQUEST TO ARGUE AND SPECIFICATION OF ISSUES TO BE ARGUED**. Dept. 39's email address is: dept39@contracosta.courts.ca.gov. Warning: this email address is not to be used for any communication with the department except as expressly and specifically authorized by the court. Any emails received in contravention of this order will be disregarded by the court and may subject the offending party to sanctions.

Submission of Orders After Hearing in Department 39 Cases

The prevailing party must prepare an order after hearing in accordance with CRC 3.1312. If the tentative ruling becomes the Court's ruling, a copy of the Court's tentative ruling **must be attached to the proposed order** when submitted to the Court for issuance of the order.

Law & Motion

1. 9:00 AM CASE NUMBER: C22-02125
CASE NAME: SAVANNAH THOMPSON VS. JOHN MUIR HEALTH
*HEARING ON MOTION IN RE: PRELIMINARY APPROVAL OF CLASS ACTION SETTLEMENT
(CONTINUED FROM: 11.13.2025)
FILED BY:
TENTATIVE RULING:

Plaintiff Savannah Thompson moves for preliminary approval of her certified class action settlement with defendant John Muir Health Inc. The case arises from allegedly unconscionable charges for a diagnostic urine test established by use of the "Chargemaster." After an emergency room visit at John Muir Hospital, plaintiff was charged \$6,095 for the test, known as "Lab Drug Screen Urine." Plaintiff brought this action for alleged violations of the Consumer Legal Remedies Act, the Rosenthal Fair Debt Collections Practices Act, and the Unfair Competition Law.

The certified class consists of 289 members who received medical services at John Muir Hospital Emergency Department between October 14, 2018 and December 31, 2022, including the test in question, who had Kaiser insurance or were uninsured, and were held financially responsible by John Muir for the services in an amount beyond a flat fee insurance deductible. The “Rosenthal Subclass” consists of 63 class members who on or after October 4, 2021 received bills for the medical services that stated their accounts were past due.

The matter was first heard on November 13, 2025, but was continued to this date in order to address two concerns of the Court. As will be noted below, the two matters have been addressed.

A. Background and Settlement Terms

The parties engaged in formal discovery. They reached a settlement after arms-length negotiations, without the assistance of a mediator.

Class members will receive a credit for the extra charge from applying the “Chargemaster” billing amount. That amount will be applied to the outstanding bill, which may include other services. Where the class member has an outstanding bill, they will receive a credit. Where there is no outstanding bill, or the balance is less than the credit amount, the class member will receive a cash payment. Applying this formula to the 289 class members, the total benefit will be \$696,266.39, consisting of \$59,483 in cash refunds and \$636,783.17 in credits.

Members of the Rosenthal subclass also will receive a statutory penalty of \$750 each.

In addition, the settlement includes an injunction that requires John Muir to reduce the Chargemaster price for this test through 2027.

If there are uncashed refund checks issued, they will be paid to a cy pres recipient, specifically Bay Area Legal Aid. In order for such a cy pres payment to be made, counsel must address the requirements for cy pres payments as required by Code of Civil Procedure sections 382.4 and 384(b). Counsel also is required to attest that they do not have any pecuniary interest in the cy pres recipient, and must “notify the court if the attorney has a connection to or a relationship with a nonparty recipient of the distribution that could reasonably create the appearance of impropriety as between the selection of the recipient of the money or thing of value and the interests of the class.” (CCP § 382.4.) The declaration must be provided “in connection with the hearing for preliminary approval[.]” (.) On November 18, 2025, counsel filed a declaration meeting the requirements of the statute. In addition, the cy pres recipient must be qualified under Code of Civil Procedure section 384(b), which requires that cy pres funds be provided “to nonprofit organizations or foundations to support projects that will benefit the class or similarly situated persons, or that promote the law consistent with the objectives and purposes of the underlying cause of action, to child advocacy programs, or to nonprofit organizations providing civil legal services to the indigent[.]” Bay Area Legal Aid meets that requirement.

The Court also was concerned that under Paragraph 31 of the settlement, the trigger date on being “unable to distribute any Class Member money” is six months from the Effective Date. Typically, such a date is a given number of days after issuance of the check. On November 24, 2025, counsel provided a stipulated amendment to the settlement that sets forth that the trigger date for cy pres distribution shall occur no sooner than 180 days after the checks are first mailed. That sufficiently addresses the Court’s concern.

The class will be given mail notice. A settlement website will be maintained. The settlement

administrator shall “use its expertise and best judgment” to redeliver any retained mail notices. The class members will be required to file a claim. Class members may object or opt out of the settlement. The administrator’s compensation would not exceed \$15,000, and would be paid by John Muir.

The settlement contains release language, which provides that the class members release “any and all claims arising out of, concerning, or related to JMH’s pricing of the Service[.]” (Settlement, Par. 17.) Under recent appellate authority, the limitation to those claims arising from “JMH’s pricing of the Service” is critical. (*Amaro v. Anaheim Arena Mgmt., LLC* (2021) 69 Cal.App.5th 521, 537 [“A court cannot release claims that are outside the scope of the allegations of the complaint.” “Put another way, a release of claims that goes beyond the scope of the allegations in the operative complaint’ is impermissible.” (*Id.*, quoting *Marshall v. Northrop Grumman Corp.* (C.D. Cal.2020) 469 F.Supp.3d 942, 949.)

Plaintiffs’ counsel will seek, by motion, attorney’s fees and litigation costs not to exceed \$600,000, which would be paid separately by defendant. Defendant does not agree not to oppose the fee application. The named plaintiff seeks a service award in the amount of \$3,629.90. This equals her balance after application of the credits under the settlement. These fees, plus the costs of claims administration and the costs of class notice, will be paid by John Muir.

B. Legal Standards

The primary determination to be made is whether the proposed settlement is “fair, reasonable, and adequate,” under *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801, including “the strength of plaintiffs’ case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the state of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction ... to the proposed settlement.” (See also *Amaro v. Anaheim Arena Mgmt., LLC*, *supra*, 69 Cal.App.5th 521.)

California law provides some general guidance concerning judicial approval of any settlement. First, public policy generally favors settlement. (*Neary v. Regents of University of California* (1992) 3 Cal.4th 273.) Nonetheless, the court should not approve an agreement contrary to law or public policy. (*Bechtel Corp. v. Superior Court* (1973) 33 Cal.App.3d 405, 412; *Timney v. Lin* (2003) 106 Cal.App.4th 1121, 1127.) Moreover, “[t]he court cannot surrender its duty to see that the judgment to be entered is a just one, nor is the court to act as a mere puppet in the matter.” (*California State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) As a result, courts have specifically noted that *Neary* does not always apply, because “[w]here the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutary purpose.” (*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 48, 63.)

C. Attorney fees

Plaintiff will seek no more than \$600,000 in attorney’s fees. The basis for this amount is not stated. Often in class actions, the amount sought is a percentage of a common fund. There is no identified fund here, however. Even a proper common fund-based fee award, however, should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the use of a lodestar cross-check as a way to determine whether the percentage allocated is reasonable. It stated: “If the multiplier calculated by means of a lodestar cross-check is extraordinarily high or low, the trial court should consider whether the percentage used

should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment.” (*Id.*, at 505.) Following typical practice, however, the fee award will not be considered at this time, but only as part of final approval. Under these circumstances, it appears that a lodestar analysis would be appropriate.

Similarly, the requested representative payment of \$3,629.90 for plaintiff will be reviewed at time of final approval. Criteria for evaluation of representative payment requests are discussed in *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 804-807.

D. Conclusion

The Court finds that, with the two supplements to the record, the proposed agreement is sufficiently fair, reasonable, and adequate to justify preliminary approval, and the motion is granted.

Counsel are directed to prepare an order reflecting this tentative ruling, the items in the previously submitted proposed order, and to obtain a hearing date for the motion for final approval from the Department clerk. Other dates in the scheduled notice process should track as appropriate to the hearing date. The ultimate judgment must provide for a compliance hearing after the settlement has been completely implemented. Plaintiffs’ counsel are to submit a compliance statement one week before the compliance hearing date. 5% of the attorney’s fees are to be withheld by the claims administrator pending satisfactory compliance as found by the Court. Once the cy pres amount is determined, the judgment must be amended to so reflect. (CCP § 384.5.)

2. 9:00 AM CASE NUMBER: C23-00688

CASE NAME: BROUWER VS. REDWOOD HOLDINGS, LLC

***HEARING ON MOTION IN RE: TO DIMISS CASE PURSUANT TO 08/04/23 COURT ORDER**

FILED BY: REDWOOD HOLDINGS, LLC

TENTATIVE RULING:

Defendant Redwood Holdings, LLC moves for entry of a dismissal of plaintiff’s complaint pursuant to Code of Civil Procedure section 581(f)(2), which provides for dismissal” after a demurrer to the complaint is sustained with leave to amend, the plaintiff fails to amend it within the time allowed by the court and either party moves for dismissal.” On July 27, 2023, the court sustained defendant’s demurrer to the entire complaint, with leave to amend. The minute order specified that any amended complaint was to be served and filed by August 7, 2023.

On July 27, 2023, plaintiff filed a notice of appeal (according to the Court of Appeal docket).

The order after hearing, entered August 4, 2023, stated that plaintiff’s last day to serve and file an amended complaint would be August 7, 2023. Notice of ruling was served August 4, 2023 and filed August 7, 2023. This was ten days from the court’s decision. The time to respond to the Court’s order, however, does not begin to run until notice of entry of order. Ten days from notice of entry of the order would be August 14, 2023.

On August 21, 2024, at a Case Management Conference, the minutes reflect that “Counsel Shalaby requests the court proceed on the matter despite the appeal as there are narrow issues not raised on appeal.” The minutes further state that “The Court refrains from proceeding at this time.” The Court